BMW Industries Ltd

Concall Tracker - Q1 FY27 update | BSE 542669 · NSE: BMW | Report date: 06 November 2026 | Latest call read: Q1 FY27 (17 Aug 2026)

This picks up from our Q4-2026 report. We read the one new earnings call (the "concall") in full and ask the same two things. Is there a real reason profits should keep growing? And is management doing what it said?

1. Snapshot

What the business does: BMW Industries is a Kolkata steel processor, not the German carmaker. Mostly it does "job-work": a big customer (mainly Tata Steel) hands over steel for free, and BMW turns it into galvanised sheet, TMT bars and pipes for a fee per tonne. So it carries almost no steel-price risk today. That changes with its new Bokaro plant, where it'll buy its own steel and sell coated sheet (colour-coated, Galvalume, galvanised and ZAM) under its own name.

Figure	Value	Plain-English read
Market capitalisation	₹1,135 crore	What the company is worth on the market at scrape time (Nov 2026). Small-cap. Share at ₹50.4.
Price-to-earnings (Screener)	12.3x	Buyers pay about ₹12 for each ₹1 of yearly profit. Cheap next to most growth stories, which tells you the market isn't pricing Bokaro in yet.
Q1 FY27 revenue	₹166 crore	Fees for Apr–Jun 2026, up 11.6% on a year ago. Steady, nothing from Bokaro yet.
Q1 operating EBITDA	₹33.7 crore (20.3%)	Operating profit before interest, tax and depreciation, up 7%. The margin slipped from 21.2% because fuel costs jumped with the Middle East conflict.
Q1 net profit	₹19.1 crore	Up about 26%. Helped by higher other income as well as better use of its plants.
Net debt	₹469 crore	Up from ₹364 crore in March. It's heading toward the ₹700–800 crore peak management guided, as Bokaro gets built.
Return on capital (ROCE)	9.5% (annualised)	Down from 12.8% for FY26. Money is sunk into Bokaro but the plant isn't earning yet.

2. Concall coverage

Quarter	Call date	How it was read
Q2 FY24 → Q3 FY26 (10 calls)	Nov 2023 – Feb 2026	Carried forward from the Q4-2026 report
Q4 & FY26 (prior boundary)	07 May 2026	Carried forward from the Q4-2026 report
Q1 FY27 (Apr–Jun 2026)	**17 Aug 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this time. The history comes from the prior report, which covered every call since the first one in Nov 2023. It was a short call, mostly retail-investor questions.

★ Latest concall highlights - Q1 FY27 (call held 17 Aug 2026)

- **Bokaro still in trials, no sales yet.** Hot trials on the colour-coated line were running in August. It'll be capitalised and start commercial output in Q2, then take three to four quarters to fill its 1.5 lakh-tonne line. The cold-rolling and Galvalume lines follow later. *Read: last call pointed to first saleable steel in Apr–Jun. That's slipped about a quarter.*
- **Long-term targets repeated, slightly widened.** FY25→FY28 targets are now 70–75% yearly revenue growth, 40–45% for EBITDA and 35–40% for profit, with margins settling at 12–13% (EBITDA) and 5–6% (profit) by FY28. Management refused to give any FY27 number. *Read: the big picture holds, but they won't be pinned down on the next year.*
- **Fuel spike hit margins.** Operating margin fell to 20.3% as gas and fuel costs rose. Prices have since eased, and BMW is talking with its customer about linking fees to gas prices. *Read: a one-quarter knock, with a fix in the works.*
- **Old plants filling up.** The rolling mill ran at about 83.5% of capacity. Pipes and tubes rose to about 40% from 34% in FY26. *Read: the legacy business is still growing quietly while Bokaro gets built.*
- **Exports off the table for now.** "The focus is only domestic." Last call talked about chasing exports including Europe "very seriously". *Read: a quiet change in story.*

Tone: calm and guarded. Several questions on near-term numbers got "I'll refrain from commenting". The MD was upbeat on steel demand in eastern India and the government push for ZAM-coated steel in rooftop solar.

Business mix & capacity (quick-glance panel)

Domestic vs export: Essentially all India, mostly one customer (Tata Steel). No exports planned for now. *Read: a single-country, single-customer business until Bokaro brings new buyers.*

Capacity use: Rolling mill **~83.5%**. Pipes and tubes **~40%**, with management now hoping for 65–70% by around FY29. Bokaro's first line is 1.5 lakh tonnes, and the full plant is about 6 lakh tonnes a year. *Read: pipes still have lots of empty room, so the old business can grow without new spending.*

★ Since our last report

Builds on the **Q4-2026 report** (boundary call 07 May 2026). Prior verdicts: **Trigger YES** · **Management consistent MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: Bokaro coated-steel plant	Funded, on schedule, earned nothing yet	Hot trials, capitalisation and first output now in Q2	Slipping (about one quarter)
First sales in Apr–Jun 2026	Promised for Q1 FY27	Didn't happen. Q2 instead	Slipping
Net debt peak ₹700–800 crore	₹364 crore in March	₹469 crore in June, ₹342 crore spent on Bokaro so far	On-track
Fill pipes plants to 60–65%	Slow, ~34%	Up to ~40%, target now 65–70% by FY29	Improving (slowly)
Exports from Bokaro	To be chased "very seriously"	"Focus is only domestic"	Dropped for now

Management consistency	Maybe, steadier since May 2025	Targets kept, but a timing slip and a quiet export U-turn	Unchanged

Verdict change this quarter: both verdicts are **unchanged** (trigger YES, consistency MAYBE). The trigger is a bit weaker because the plant is late and still hasn't sold anything.

3. Earning-trigger thesis ★

Everything still hangs on Bokaro. It turns BMW from a fee earner into a seller of its own coated steel, and management says it could take revenue several times higher by FY28 with thinner margins. The plant is built, funded and in trials, and the demand case management makes (steel use growing faster than the economy, import curbs, ZAM approved for rooftop solar) sounds reasonable. But it's a quarter late, it has no customers yet in the new product lines, and it's being paid for with a lot more debt. Meanwhile the old job-work business keeps ticking along with fuller plants.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Bokaro coated-steel plant	Colour-coated line commercial in Q2, ramp over 3–4 quarters, FY28 targets kept	Hot trials running, ₹342 crore spent, zero revenue	FY27–FY30	Moderate - built and funded, unproven, late	↓ weakening (timing)
Fill idle pipes capacity	65–70% by about FY29	~34% → ~40%	2–3 yrs	Moderate	↑ slightly better
Rolling mill / galvanising use	Demand-driven	~83.5% use, profit +26%	Now	Proven	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 calls	Pipes capacity to 1 million tonnes	Cut to ~700k	Partly
May 2024	~18% yearly sales growth target	Withdrawn Feb 2025, replaced by Bokaro plan	Dropped
May 2025	Bokaro funding tied up, first sales by Q4 FY26	Funding done. Sales slipped to Q1 FY27, now Q2 FY27	Partly (slipping)
Nov 2025	March-2026 quarter over ₹200 crore	₹210 crore	Delivered
Q4 FY26 (May 2026)	First saleable colour-coated steel in Apr–Jun 2026	Still in hot trials in August	Missed (by about a quarter)
Q4 FY26 (May 2026)	Chase exports "very seriously" from Bokaro	"Focus is only domestic"	Dropped
Q4 FY26 (May 2026)	Net debt to peak ₹700–800 crore	₹469 crore so far	On-track

Narrative drift: The Bokaro story itself hasn't changed. The same growth and margin targets get repeated every quarter. But the dates keep sliding: first sales were meant for Q4 FY26, then Q1 FY27, now Q2. And the export ambition from the last call was quietly dropped. Add the earlier history (a withdrawn growth target, a cut capacity plan, a CFO exit) and you get a team that's steady on the big plan and loose on the details.

5. Bottom line - two verdicts

Durable earning trigger? → YES vs last quarter: unchanged (a bit weaker)

The plant is physically there, funded, and in hot trials, and the targets for FY28 haven't been cut. That's still a concrete, named driver. What moved: it's about a quarter late and has earned nothing yet, so the payoff starts in the second half of FY27 at the earliest. If the colour-coated line isn't selling by the next call, this should drop to Maybe.

Management consistent? → MAYBE vs last quarter: unchanged

The good: debt is tracking the plan, the old plants are filling, and the long-term targets are steady. The not-so-good: another slip on Bokaro's start date, a refusal to say anything about FY27, and the export plan from three months ago is gone. It's not getting worse, but it hasn't earned a Yes either.

Things to watch next: does Bokaro's colour-coated line actually sell in Jul–Sep 2026, how fast it fills, how high net debt peaks, and whether the fuel-price link gets into the customer contract.

Sources: BMW Industries Q1 FY27 earnings-call transcript (17 Aug 2026, via Screener.in). Prior Q4-2026 concall-tracker report (calls Nov 2023 – May 2026). Screener snapshot at scrape time. Calls held after 30 Sep 2026 were not read. Educational read-through, not investment advice.